

TABLE 8-1 Fluctuations in Bond Yields, and in Prices of Two Representative Bond Issues, 1902-1970

	Bond Yields		Bond Prices	
	S & P AAA Composite	S & P Municipals	A. T. & S. F. 4s, 1995	Nor. Pac. 3s, 2017
1902 low	4.31%	3.11%	1905 high	79
1920 high	6.40	5.28	1920 low	49%
1928 low	4.53	3.90	1930 high	73
1932 high	5.52	5.27	1932 low	46%
1946 low	2.44	1.45	1936 high	85%
1970 high	8.44	7.06	1939-40 low	31%
1971 close	7.14	5.35	1946 high	94%
			1970 low	32%
			1971 close	37%

If it is virtually impossible to make worthwhile predictions about the price movements of stocks, it is completely impossible to do so for bonds.^{*} In the old days, at least, one could often find a useful clue to the coming end of a bull or bear market by studying the prior action of bonds, but no similar clues were given to a coming change in interest rates and bond prices. Hence the investor must choose between long-term and short-term bond investments on the basis chiefly of his personal preferences. If he wants to be certain that the market values will not decrease, his best choices are probably U.S. savings bonds, Series E or H, which were described above, p. 93. Either issue will give him a 5% yield (after the first year), the Series E for up to 5 5/6 years, the Series H for up to ten years, with a guaranteed resale value of cost or better.

If the investor wants the 7.5% now available on good long-term corporate bonds, or the 5.3% on tax-free municipals, he must be prepared to see them fluctuate in price. Banks and insurance companies have the privilege of valuing high-rated bonds of this type on the mathematical basis